

Pacifico Energy / GW Ranch — Counterparty Diligence Memorandum

7.65 GW permitted off-grid gas campus, Pecos County, Texas — project structure, land position, capital stack, ownership, status, risk Prepared June 12, 2026 · Land Resource Partners · Internal and counterparty-restricted circulation · Not investment advice

I. Executive Summary

The asset is real; the company behind it is thin. GW Ranch holds the largest air authorization on record in the United States: TCEQ application **396366**, issued on or about January 26, 2026, authorizing **7.65 GW of gas-fired generation plus 1.8 GW of battery storage and 750 MWac of solar** on 8,000+ acres on Highway 18, approximately 17 miles north of Fort Stockton (coordinates 31.1621, -102.8964). The design is deliberately off-grid — no ERCOT interconnection, no new transmission, Waha-adjacent gas via a planned 15-mile, 1 Bcf/d lateral. The permit is a genuine moat. Everything commercial behind it is absent: **no named offtaker, no disclosed financing, no confirmed turbine OEM, no executed tax abatement, and no public record of land tenure.**

Ownership: founder-controlled, no institutional sponsor. Pacifico Energy Group LLC is controlled by founder Nate Franklin. Outside capital has only ever entered at project and fund level (GE Energy Financial Services, MUFG and Japanese bank syndicates, Goldman/Nomura-placed solar funds, Sumitomo tax equity) — never as disclosed holdco equity. The widely cited “\$5B+ raised” is a cumulative gross debt-plus-equity tally across 14 years and four countries, not balance-sheet capacity. The marquee backer list in GW Ranch press releases unpacks into placement agents, tax-equity buyers, and exited project co-investors.

The war chest is impaired. Pacifico’s central liquidity event — Bank of America’s sale of the Japanese solar platform, launched September 2024 — has stalled: KKR, Macquarie, and Copenhagen Infrastructure Partners all walked, and price expectations collapsed ~70% from ~¥100bn (~\$678M) to “offers above ¥30bn,” with no closing announced through June 2026. Full GW Ranch build is framed at ~\$12B (Forbes, Feb 2026, quoting Franklin’s own position: he needs “the \$12 billion ... and the hyperscalers”).

Verdict: a permitted development option — tenant-contingent and pre-capitalized — not a financed project. FID requires an anchor tenant plus JV equity plus project debt that do not yet exist. The Poolside/CoreWeave Project Horizon collapse on the adjacent Longfellow Ranch (March 2026) is the live demonstration that tenant credit, not permits, is the binding constraint in this county.

II. Project Structure

Attribute	Finding	Source
Project entity	Pacifico GW LLC (TCEQ regulated entity RN112259775); parent Pacifico Energy Group LLC, San Juan Capistrano, CA	TCEQ permit record
Location	Pecos County, Hwy 18 ~17 mi N of Fort Stockton; 31.1621, -102.8964	TCEQ notice 181033; GEM; KCBD
Site	8,000+ acres (Forbes: 8,400), “build-ready,” room to expand	Pacifico PR (consistent)
Permitted capacity	7.65 GW gas + 1.8 GW BESS + 750 MWac solar	TCEQ 396366; DCD
Deliverable capacity	“Over 5 GW” private-grid; N+2 redundancy, five-nines availability target	Developer claim

Attribute	Finding	Source
Grid status	Off-grid / islanded; explicitly not ERCOT-interconnected; no new transmission	Pacifico (repeated)
Gas supply	Multiple laterals incl. planned 15-mi, 1 Bcf/d pipeline direct to Waha; full operation est. 1–2 Bcf/d, ~4–7% of 2025 Permian output	Pacifico PR; Rice/Baker Institute
Water	“Self-sufficient, no major external sources” — combustion byproduct + closed-loop cooling. Unverified; no Middle Pecos GCD permit located	Gieskes statements
Phasing	Phase 1 = 1 GW; first power Q1/H1 2027 (inconsistent across releases); 1 GW in 2028; 5+ GW by 2030–31 (slipped from 2030)	Pacifico (dates conflict)
Turbines	“Secured” per VP Constantyn Gieskes; OEM, count, delivery schedule all undisclosed	Unverifiable
EPC / offtaker / financing	None announced on all three	Confirmed absence
Fiber	No disclosed provider or route	—

Angle. The off-grid design is the strategy, not a feature. It converts a 5–7 year ERCOT interconnection queue into a speed claim and sidesteps the entire SB6 / PUCT Project 58481 large-load regime — the \$50,000/MW security posting, the \$50,000/MW non-refundable interconnection fee, the site-control proof, and the curtailment kill switch. The cost of that bypass is zero grid backup: reliability rests entirely on on-site gas-plus-BESS redundancy, and the five-nines claim has never been demonstrated by this developer at any scale. The small/large turbine mix implies aeroderivative or reciprocating bridging for the first GW with frame machines later.

III. Land Position — Unresolved

No primary source establishes whether Pacifico **owns, options, or leases** the GW Ranch acreage. Pecos County Appraisal District records show no parcel under “Pacifico GW LLC” or “Pacifico” in searchable indices; no recorded deed, purchase price, or lease/option terms appear anywhere. Sixteen months of company materials use only possession-neutral language (“sited within 8,000+ acres,” “build-ready land”) — never owns, acquired, optioned, or leased. “GW Ranch” is gigawatt branding, not a verified pre-existing ranch name, so the underlying instrument likely sits against a differently-named ranch. Gieskes told the Midland Reporter-Telegram the company “needed to find thousands of acres in one spot ... relatively unscathed from previous development” — implying acquisition or control without specifying form.

Angle. This is the single most important unverified fact in the file. If Pacifico holds an option or lease rather than fee title, its position is weaker, more time-constrained, and more contestable than the marketing suggests — and the permit becomes the dominant asset rather than the land.

Verification steps (~30 minutes):

#	Step	What it resolves
1	Pecos CAD owner search (esearch.pecoscad.org): “Pacifico,” “Pacifico GW LLC”; failing that, map-search the large tracts on Hwy 18 ~17 mi N of Fort Stockton — that owner is the seller or the lessor	Fee vs. option/lease, counterparty
2	TexasFile grantee search, Pecos County Clerk records, “Pacifico,” 2024–present	Warranty deed = owned; memorandum of option/lease = controlled
3	Pull TCEQ permit 396366 in full: turbine count/type, emission limits	Replication cost/time of the permit moat

#	Step	What it resolves
4	Middle Pecos GCD board minutes/permit log for GW Ranch well filings	Water claim support; applications list the landowner of record
5	Monitor Commissioners Court agendas for an executed Ch. 312 reinvestment zone/abatement; once executed, the agreement recites the property interest verbatim	Tenure + FID intent
6	Comptroller franchise tax search (mycpa.cpa.state.tx.us/coa/): “Pacifico GW LLC”	Registration, agent, officers — free

IV. Ownership and Capital Stack

Ultimate ownership: founder-controlled, opaque

Pacifico Energy K.K. (Japan) is held **66.7% by Pacifico Energy AM Holdings L.P.** and **33.3% by Japan president/CEO Hiroki Matsuo** following a July 2022 shareholder change — Matsuo’s stake is executive co-ownership (ex-Toyota Tsusho, ex-Eurus; operator, not a capital source), not institutional. The AM Holdings vehicle — unregistered in any US state, GP/LPs undisclosed — traces to **Pacifico Energy Group LLC**, the California holding company controlled by Franklin (William Nathan Franklin, UCLA Anderson MBA, ex-BP Solar / Edison Mission Energy), who describes his stake as “significant” without disclosing a percentage. The early-era parent was the **Jamieson family’s Virginia Solar Group**, an affiliate of the Jamieson Group (Bakersfield oil & gas / real estate, ~\$800M revenues, tied to Jaco Oil Company, where Franklin was VP of Alternative Energy 2010–11); GE/Business Wire releases from 2014–16 name Virginia Solar Group as the K.K.’s parent. By the 2022 shareholder change Virginia Solar Group had exited the record; whether bought out or wound down is undisclosed. EDGAR full-text search returns **zero Form D filings** for Pacifico Energy, Pacifico Power, or Pacifico GW: capital formation has been project/fund-level, often offshore, never US corporate equity rounds. (No TPG connection — the “Texas Pacific” association is a name coincidence.)

Where outside capital actually sits

Layer	Capital source	Detail
Holdco equity	Franklin (founder)	No disclosed institutional shareholder; exact % undisclosed
Japan opco minority	Hiroki Matsuo	33.3% of the K.K. since 2022; management equity
Japan solar funds	Japanese institutional LPs (names undisclosed)	Fund I (Sep 2017): ¥15.5bn, five plants >100 MWdc, MUMSS sole placement. Fund II (Dec 2019): ¥29bn, 216 MWdc, Nomura + Goldman Sachs Japan co-placement. No Fund III; stated ¥150bn ambition unrealized
Japan project equity	GE Energy Financial Services (+ Virginia Solar Group); Kansai Electric + ENEOS	GE: Kumenan 32 MW, Mimasaka Musashi 42 MW, Hosoe 96 MW (GE EFS’s first Japan investments; disposition of stakes post-2018 undisclosed). Kansai/ENEOS: 50/50 in Banshu GK (~77 MWdc, COD 2023)
Japan project debt	MUFG/BTMU, Chugoku Bank, Sumitomo Mitsui Trust, Bank of Fukuoka, Bank of Yokohama	Non-recourse: ¥11bn Kumenan, ¥13bn Mimasaka Musashi, Hosoe 13-bank syndicate; Setouchi Kirei ~\$1.1B incl. \$867M syndicate loan; Toyo Engineering recurring EPC
US tax equity / debt	Sumitomo Corp of Americas; MUFG	Jun 2024: \$40M tax equity within \$93M total incl. \$29M MUFG construction-to-perm + \$24M IRA transferability bridge — Pacifico’s largest publicized US financing

Layer	Capital source	Detail
Korea	Hana Bank / Hana Securities	MOU (Jun 12, 2026) on 3.2 GW Jindo offshore cluster; MOU stage only, construction ~2030
Vietnam	Dragon Capital JV	Mui Ne 40 MWp solar JV; project-level only, no parent stake

Asset sales and capital recycling

Event	Date	Terms
SSE Pacifico carve-out	Oct 2021	SSE Renewables bought 80% of the Japan offshore wind platform for \$208M (incl. \$30M deferred); Pacifico retained 20%. JV's Murakami-Tainai project since listed cancelled
Sumitomo tax equity	Jun 2024	\$40M on 27 MW US DG portfolio (part of \$93M package)
Japan solar platform sale	Launched Sep 2024; open	Bank of America mandate; ~317 MW operating + 6.2 GW pipeline. Initial ask ~¥100bn (~\$678M); KKR (price), Macquarie, and CIP (valuation gap) all walked ; by Jul 2025 Pacifico would entertain offers above ¥30bn. No closing, buyer, or value announced as of June 2026
CleanCapital sale	Jun 2025	27.3 MW solar / 25.2 MWh storage US DG portfolio (MA SMART + CA BTM); Marathon Capital advised; price undisclosed

Angle. The Japan sale is the tell. A 70% collapse in price expectations, with three marquee infrastructure buyers passing, prices the 6.2 GW pipeline at near zero and signals the market does not pay for Pacifico's development optionality. Even a clean close at ¥30–40bn yields perhaps \$200–450M gross — before tax, debt, and Matsuo's 33.3% minority leakage. Against a ~\$12B GW Ranch build, or even a \$2–2.5B Phase 1 at current gas-plant costs (\$2,200–2,500/kW), the parent's recyclable equity is a rounding error. Pacifico is structurally a developer and capital assembler, not a balance-sheet principal. The November 2025 hire of CFO **Dhiraj Shangari** (ex-Northland Power; C\$11B+ of arranged project financing across offshore wind, storage, and conventional generation) confirms the company knows it: the financing apparatus is being built because it does not yet exist. No GW Ranch financing mandate, bank engagement, or raise has been announced.

V. Status and Milestones

Item	Status (June 2026)
TCEQ air permit	Achieved. Application 396366, issued ~Jan 26, 2026, ~5 months from public launch. Authorizes >12,000 t/yr regulated pollutants, up to 33 Mt/yr GHG — largest US air permit on record (developer characterization, echoed by trade press). No contested case or lawsuit found
Tax abatement	Not executed. Jan 12, 2026 local coverage reported commissioners approving property-tax relief tied to a "\$5.5–6.4B" data center project, but no executed Ch. 312 agreement for a Pacifico entity appears in public registries, and the May 11, 2026 agenda shows only a Pacifico "presentation." Peers (Glass Mountain Solar, APEX, CoreWeave/Longfellow REZ) hold executed agreements — GW Ranch is earlier in the process
Turbines	"Secured" per Gieskes; OEM/count/schedule undisclosed; unverifiable
Offtaker / EPC / FID / financing	None announced
Construction	"Can start Q1 2026" per company; Q1 passed with no confirmed groundbreaking; GEM lists pre-construction
Targets	First power Q1/H1 2027; 1 GW 2028; 5+ GW 2030–31 — internally inconsistent across Pacifico's own releases; full buildout already slipped 2030 → 2031

Item	Status (June 2026)
Local posture	County Judge Shuster and EDD director Ramos on record favorably; 200-unit workforce housing greenlit alongside
Federal posture	Senate EPW minority letter to Franklin (Mar 13, 2026, Whitehouse/Heinrich/Van Hollen) over the “largest air pollution permit in US history” — one of twelve projects probed; Franklin’s response cites “\$200B of AI supercomputers” supportable on site

Next 12-24 month milestones to watch: executed Ch. 312 reinvestment zone/abatement (signals FID intent); named anchor tenant; named turbine OEM with delivery dates; project-finance mandate or JV announcement; MPGCD well filings; Japan platform sale closing.

Pipeline note — Fort Spunky (Hood County). Pacifico’s other US project: a ~560-862-acre, 456 MW data center + power development near Granbury, grid-tied (100 MW requested) and water-dependent (~20,000 gal/day). The local water utility board denied its water request; Hood County commissioners revoked the previously-approved concept plan 3-2; Pacifico (via Husch Blackwell) is suing the county, calling the revocation “unlawful and premature,” seeking ≥\$250k. Read-across: (a) GW Ranch is not the only US project but the pipeline is thin and pre-operational; (b) Pacifico litigates local friction quickly; (c) grid-tied + water-dependent siting failed exactly where GW Ranch’s off-grid/dry-cooled design is engineered not to.

VI. Risk Register

Risk	Rating	Substance
Execution experience	HIGH	Entire operating history is solar PV and BESS, mostly Japan (~1,750 MW built). Zero gas-turbine or hyperscale data-center delivery; the leap from 2 MW BESS units to a 7.65 GW gas campus is unprecedented for this team
Offtaker / counterparty	HIGH	No tenant. Live county comparable: Poolside’s 2 GW Project Horizon on the adjacent Longfellow Ranch collapsed late March 2026 when CoreWeave exited the 15-yr anchor role — the \$2B Series C at \$14B pre-money (Nvidia NVentures slated up to \$1B) fell apart, the 40,000-GB300 GPU contract unwound, site idle. Counter-signals nearby: Microsoft’s reported 2,500 MW Reeves County site (Apr 2026); LandBridge/PowerBridge 2 GW at Waha
Financing	HIGH	~\$12B full build; no committed capital; new CFO; parent simultaneously selling legacy assets at distressed expectations to recycle capital
Turbine supply	HIGH/MED	GE Vernova ending 2025 with ~80 GW backlog into 2029, ~3-yr lead times, ~10 GW of 2029-30 slots remaining, CEO Strazik predicting sell-out through 2030; Siemens orders deliver 2030+. “Turbines secured” is asserted, undisclosed, and central to the H1 2027 first-power claim. Contrast: Fermi publicized a 600 MW turbine acquisition; Crusoe locked 4.5 GW via an Engine No. 1/GE Vernova JV
Water / MPGCD	MED/HIGH	Middle Pecos GCD (coterminous with Pecos County): wells >17.5 gpm non-exempt; large volumes need board findings of no adverse aquifer impact. “Self-supplied / no major external water” is unverified and aggressive — even closed loops need initial fill and refills. No MPGCD permit located. The district fought Fort Stockton Holdings for a decade; most water-litigious GCD in West Texas
Regulatory / political	LOW by design, tail risk	Off-grid status avoids the SB6 large-load regime entirely; bites only if the project later seeks interconnection or co-location netting. Tail: Senate EPW scrutiny; the 2027 Legislature could extend oversight to off-grid loads (utilities lobbying on cost-shift from grid defection)
Permit vs. reality	Structural	Collins (Baker Institute): Texas mega-projects “oversell their technical and financial capacities”; few reach full permitted capacity; those built come online “100 MW at a time”

Risk	Rating	Substance
Gas-basis dependence	Structural	Economics rest on stranded associated gas: Waha hit a record -\$7.15/MMBtu Mar 10, 2026, ran 47 consecutive negative days through mid-April; YTD 2026 average -\$0.37 vs +\$1.15 in 2025. Basis compresses as Blackcomb, GCX expansion, and Hugh Brinson ramp through 2026-27. Do not underwrite perpetual negative Waha

VII. Differentiators and Vulnerabilities

What Pacífico is doing differently

- **Permit-maximalist land banking.** Secure the largest-ever air authorization on contiguous acreage, then market a “partner-ready, de-risked, modular” platform hyperscalers can plug into without further regulatory approvals. Permitted headroom (7.65 GW) deliberately exceeds marketed deliverable (5 GW), maximizing optionality and resale/JV value.
- **Off-grid by design,** converting the interconnection queue into a speed advantage and sidestepping SB6 economics — the cleanest regulatory position in the Texas GW class (zero ERCOT queue, zero SB6, zero FERC).
- **Source co-location at the Waha/Permian wellhead,** monetizing structurally negative basis as near-zero fuel cost, with basis-distressed producers as natural firm-supply counterparties.

Where Pacífico is vulnerable

The scarce asset is the **permit plus contiguous, build-ready, gas-adjacent acreage with water** — not the developer. A 12,000+ t/yr TCEQ authorization is a genuine moat that takes time to replicate; the company holding it is replaceable. Vulnerabilities: no offtaker, no financing, no gas execution record, undisclosed land tenure, aggressive water claims. If Pacífico cannot land an anchor or close capital, the permit plus site control becomes an acquisition or JV target — the Longfellow/Poolside aftermath, where hyperscalers were reported circling distressed assets for the underlying land, gas, and water rights, is the template.

Positioning note: adjacent powered-land positions are two-sided — (a) expansion parcel / JV counterpart if GW Ranch lands a tenant; (b) competing or successor site if it stalls. A distressed-asset scenario keys off the company’s own H1 2027 first-power target.

Texas GW-class comparative set (June 2026):

Project	Scale	Status	Model
GW Ranch (Pacífico, Pecos Co.)	7.65 GW permitted; 5+ GW by 2031	Permitted; no tenant, OEM, or financing	Fully off-grid gas+BESS+solar
Stargate Abilene (Crusoe/Oracle→OpenAI)	1.2 GW campus; \$11.6B raised; 4.5 GW gas JV	Phase 2 energizing mid-2026	Grid-tied + BTM gas
Fermi “Matador” (Amarillo)	11 GW HyperGrid	Stock -80%+ from IPO; class actions; tenant walkaway	Off-grid “power island”
Poolside/CoreWeave Horizon (Pecos Co.)	2 GW	Anchor lease terminated 3/2026; site idle	BTM Permian gas
LandBridge/PowerBridge Alpha (Reeves Co.)	2 GW	First power 2027	Co-located gas near Waha
Lancium (Abilene/Childress/Ft. Stockton)	1.2 GW+ portfolio	Operating/expanding	Grid-interactive BTM

VIII. Falsification Conditions

- **On “founder-controlled, no institutional sponsor”:** disclosure of a committed institutional/PE equity partner at the PEG holdco level; or evidence Jamieson/Virginia Solar Group retains a stake; or a Form D showing a US holdco raise.
- **On “tenant-contingent, pre-capitalized option”:** a signed investment-grade hyperscaler offtake at GW Ranch; or a closed project-debt facility; or a confirmed OEM turbine order with delivery dates. Any one materially de-risks; all three flip the assessment.
- **On “distressed Japan platform”:** sale closing at or above ~¥80-100bn refutes the over-marketed-pipeline read and provides real recycled equity.
- **On the bearish base case:** triggers confirming it are no offtaker/FID by end-2026, missed H1 2027 first power, CFO turnover, or parent liquidity strain from a further-delayed Japan sale.

IX. Action Items and Decision Thresholds

#	Action	Window	Decision threshold
1	Pull PCAD parcel + Pecos County Clerk deed records for the site; establish fee/option/lease and counterparty	0-30 days	Option/lease = weaker, contestable position; fee = stronger principal
2	Pull TCEQ permit 396366 in full: permit number, turbine count/type, emission limits	0-30 days	Defines replication cost/time of their moat
3	Check MPGCD board minutes/permit log for GW Ranch well registrations	0-30 days	No permits filed = water claim unsupported
4	Monitor Commissioners Court agendas for an executed Ch. 312 reinvestment zone/abatement	30-90 days	Executed abatement + named EPC/OEM = genuine FID intent; upgrade view
5	Track offtaker/JV/financing announcements; confirm Japan platform sale status, net proceeds, earmarking	Ongoing	Named IG offtake or closed debt = de-risked; raises comparable land values county-wide
6	If engaging directly: demand the PEG cap table and AM Holdings L.P. LP register; engage CFO Shangari on mandates, ECA involvement, vendor finance, FID timing	If/when	Holdco opacity is the largest unknown; no co-investment without it
7	Keep crude and natural gas economics strictly separate in underwriting; the stranded-gas dynamic is a takeaway phenomenon driven by oil-directed drilling and compresses with 2026-27 pipeline ramps	Standing	—

X. Caveats and Undisclosed-Items Register

- **All undisclosed (none estimated):** land tenure, purchase price, SPV capital structure, project financing, EPC, turbine OEM/quantity, offtaker, Franklin’s exact ownership %, AM Holdings L.P. LPs, Fund I/II LP names, Japan-sale mechanics.
- Pacifico’s own releases conflict on founding year (2009 vs 2012), Japan solar built (1.3/1.5/1.6 GW), capital raised (\$3.5B in 2019; \$5B+/over \$6B in 2024), and first-power timing (Q1 vs H1 2027). Treat “raised” figures as marketing approximations.
- Emissions figures and the 1-2 Bcf/d gas estimate key off the maximum permitted 7.65 GW, not the ~5 GW marketed deliverable; the gas figure is one academic’s calculation.
- Japan-sale figures and buyer withdrawals rely on Infralogic/ION Analytics reporting from unnamed sources; Pacifico and Bank of America declined comment.

- “Largest US air permit / largest power project” is the developer’s characterization, echoed but not independently audited.
- Do not conflate with unrelated entities: Pacifico Energy Partners GmbH (Munich) and the LatAm/West Africa “Pacifico Energy Group” consortium have no connection to Franklin’s company.
- \$12B total cost is the Forbes figure; \$2–2.5B per-GW phase costs are analyst estimates at current gas-plant pricing, not Pacifico disclosures.

Sources: TCEQ air permit application 396366 and issuance record; TCEQ public notice 181033; Pecos County Commissioners Court agendas (incl. Jan 12 and May 11, 2026) and Fort Stockton Pioneer coverage; Pacifico Energy press releases (Business Wire, Aug 20, 2025; Jan 26, 2026; Nov 2025 CFO appointment) and gw-ranch project page; Infralogic/ION Analytics (Japan platform sale, Oct 2024 and Jul 2025); SSE plc disclosures (Oct 2021); Sumitomo Corporation of Americas (Jun 2024); CleanCapital/Marathon Capital (Jun 2025); GE EFS/Business Wire releases 2014–16 (Virginia Solar Group parentage); Pacifico Energy K.K. shareholder-change notice (Jul 2022); Global Energy Monitor; Forbes (Feb 2026); Inside Climate News (Jan 29, 2026); Texas Observer; Texas Tribune (Feb 2, 2026); Big Bend Sentinel (Feb 4, 2026); DataCenterDynamics (incl. Project Horizon collapse, Apr 2026); Utility Dive (GE Vernova backlog); Reuters/BOE Report and Pipeline & Gas Journal (Waha pricing, Feb–Apr 2026); Rice University Baker Institute (Gabriel Collins); Middle Pecos GCD rules; PUCT Projects 58481/58479 and draft 16 TAC §25.194 (Mar 12, 2026); US Senate EPW minority letter (Mar 13, 2026); Texas Scorecard / Hood County News / Texas Tribune (Fort Spunky, 2026); SEC EDGAR full-text search (Form D negative finding); Pecos County Appraisal District (negative finding). English- and Japanese-language sourcing. Trade press cited for data only. Nothing herein is investment advice or an offer to transact.